

# Divergence Playbook

How to grade, trigger, and execute high-quality divergence setups using price structure, RSI, stochastic, VWAP, and location.

**Divergence is a warning, not a trade.** Context decides whether the idea matters; price action decides whether it becomes executable.

REGULAR BULLISH

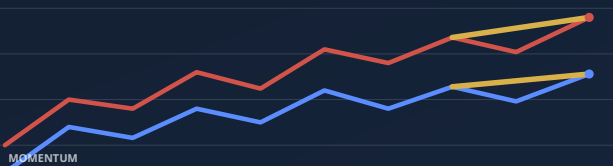
REGULAR BEARISH

HIDDEN BULLISH

HIDDEN BEARISH

PRICE

MOMENTUM



## Built for discretionary traders

- Use divergence as a **filter**, not as a blind entry.
- Lead with **price structure and location**; let indicators support the read.
- Upgrade setups with **RSI confirmation** and a clean trigger.

## Fast rule set

- Best at edges: VWAP extremes, 200 SMA tests, prior day levels, gap edges.
- Weakest in the middle of a messy range.
- Stochastic alone usually signals **exhaustion**, not elite divergence.

## Operating rules

### What divergence is

Divergence is a disagreement between **price swings** and **momentum swings**. Price may print a higher high while RSI prints a lower high, or price may print a higher low while RSI prints a lower low.

### What divergence is not

It is not a reason to front-run a reversal. A clean idea still needs **location**, **structure**, and a **trigger**. Without those, you are usually just fading momentum early.

#### Best use

At range edges, after expansion, or on continuation pullbacks in a clear trend.

#### Weak use

Mid-range chop, random oscillator wiggles, or low-liquidity lunchtime noise.

#### Best mindset

Ask “what does this warn me about?” before asking “how do I trade it?”

### Evidence ladder

High-quality divergence builds from the outside in: location first, then structure, then indicator, then trigger.

1

#### Location

Edge of range, VWAP rejection, 200 SMA, prior day high/low, gap edge.

2

#### Structure

Clean higher high/lower low or higher low/lower high to compare.

3

#### Indicator

RSI first. Stochastic second. The oscillator warns; it does not execute the trade.

4

#### Trigger

Break of micro structure, reclaim/loss of VWAP, failure candle, or trendline break.

**Regular divergence** usually points to a possible reversal.

**Hidden divergence** usually points to continuation after a pullback.

## The four divergence types

Use the charted swing points like a compare-and-contrast exercise. If the pivots are not comparable, the setup is already lower quality.

### Regular bullish

Price lower low, RSI higher low

PRICE



RSI



### Regular bearish

Price higher high, RSI lower high

PRICE



RSI



### Hidden bullish

Price higher low, RSI lower low

PRICE



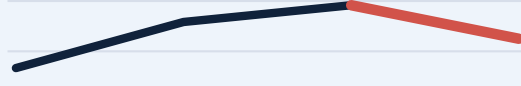
RSI



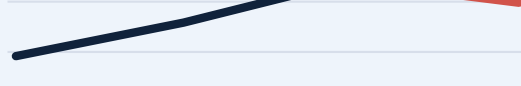
### Hidden bearish

Price lower high, RSI higher high

PRICE



RSI



#### Best reversal use

Regular bullish and regular bearish setups work best after price extends into a clear level, exhausts, and then loses short-term structure.

#### Best continuation use

Hidden bullish and hidden bearish setups work best inside a trend when price pulls back, holds structure, and then resumes the dominant move.

### One-line decision rule

Regular divergence says **“the move may be tiring.”** Hidden divergence says **“the pullback may be ending.”**

## RSI first, stochastic second

### Practical comparison

| INDICATOR           | WHAT IT MEASURES                                                      | BEST ROLE                                                                | TYPICAL TRAP                                                          |
|---------------------|-----------------------------------------------------------------------|--------------------------------------------------------------------------|-----------------------------------------------------------------------|
| <b>RSI</b>          | Relative strength of gains vs losses; a smoother read on momentum.    | Primary divergence tool. Best for confirming true momentum disagreement. | Reading overbought or oversold as a reversal by itself.               |
| <b>Stochastic</b>   | Where price closes inside the recent range; faster and more reactive. | Secondary timing tool. Great for exhaustion, entries, and exits.         | Flipping constantly in trends and creating false "divergence" labels. |
| <b>VWAP / level</b> | Not an oscillator; a location and trigger framework.                  | Confirms whether the divergence is happening somewhere that matters.     | Ignoring it and trading an oscillator in the middle of nowhere.       |

### Preferred stack

**Primary signal:** RSI divergence or hidden divergence

**Secondary timing:** stochastic rollover / cross for exhaustion and entries

**Context:** VWAP, 200 SMA, prior day levels, gap edge, trend structure

**Important:** Stochastic measures position in range, not raw momentum strength. If your setup works only because stochastic rolled over, label it as **exhaustion** unless RSI and structure agree.

### How to use stochastic correctly

Let stochastic help with **timing**: overbought rollover into resistance, oversold turn up into support, or a pullback reset inside trend continuation. It should sharpen the trade, not invent it.

## Grade every setup before you trade

### 12-point scorecard

| CRITERION                 | 0 POINTS                       | 1 POINT                      | 2 POINTS                                                              |
|---------------------------|--------------------------------|------------------------------|-----------------------------------------------------------------------|
| <b>Price structure</b>    | Messy or non-comparable swings | Usable but uneven            | Clean higher high / lower low or higher low / lower high pair         |
| <b>Indicator quality</b>  | Stochastic only or flat read   | One decent confirmation      | Clear RSI divergence, optionally with stochastic timing               |
| <b>Location</b>           | Mid-range, random print        | Minor level                  | Major level: VWAP, 200 SMA, prior day level, gap, trend line          |
| <b>Regime fit</b>         | Fighting strong trend blindly  | Neutral                      | Reversal at edge or hidden continuation inside trend                  |
| <b>Trigger</b>            | No trigger; anticipation only  | Soft trigger or early nibble | Break of pivot, reclaim/loss, or rejection candle with follow-through |
| <b>Trade construction</b> | Poor invalidation or weak R    | Acceptable plan              | Clear invalidation and at least 2R available to target path           |

### Grade bands

**A+**

11-12 points. Strong enough for normal or aggressive execution when market conditions fit.

**A**

9-10 points. Very good setup. Trade it cleanly, not emotionally.

**B**

7-8 points. Trade smaller or wait for more confirmation.

**C**

5-6 points. Study it, but you do not need to force it.

**Pass**

0-4 points. Skip it.

### Automatic downgrades

- Only stochastic diverges
- No clear swing pair
- Setup forms in the middle of a range
- No trigger; you must predict the turn
- Stop placement is vague or reward path is poor

## The 7-step process

This is the sequence that keeps you from labeling every oscillator wiggle as a setup.

1

### Define regime

Is the market trending, ranging, or in post-expansion compression?

2

### Map location

Mark VWAP, prior day levels, 200 SMA, gap edges, opening range, and major highs/lows.

3

### Find comparable swings

Use like-for-like pivots. Do not compare a tiny inside candle to a major impulse leg.

4

### Check RSI first

Use RSI for true momentum disagreement. Note stochastic only as secondary timing/exhaustion.

5

### Wait for a trigger

Break of a pivot, reclaim/loss of VWAP, or a rejection candle that confirms the idea.

6

### Build the trade

Entry, invalidation, first target, runner target, and position size before you click.

7

### Reassess quickly

If the trigger fails or price reclaims the level cleanly, downgrade or exit.

**No trigger, no trade.** A divergence can sit on the chart for hours. The market owes you nothing until price confirms the story.

**Highest-quality sequence:** edge of range or key level -> clean swing pair -> RSI confirmation -> stochastic timing -> structure break / VWAP failure -> executable risk.

### Two quick reminders

**For regular divergence:** think reversal, but only after price shows it can stop making progress.

**For hidden divergence:** think continuation, but only after the pullback stops threatening the main trend.

## How to turn the read into a trade plan

### 1. Micro-structure break

Best for regular bearish or regular bullish divergence after price exhausts into a level.

**Entry** After the local pivot breaks or a lower high / higher low confirms.

**Stop** Beyond the signal swing high or low.

**Target** VWAP, prior swing, opening range edge, then next major level.

### 2. VWAP failure or reclaim

Best when divergence forms far from VWAP and price can no longer sustain the extension.

**Entry** First failed reclaim under VWAP or first clean reclaim above VWAP after a flush.

**Stop** Back through the signal swing or the failed reclaim candle.

**Target** VWAP test, opposite side of the intraday range, or prior day level.

### 3. 200 SMA rejection

Best when price pushes into a higher-timeframe anchor, stalls, and the oscillator rolls over.

**Entry** Rejection candle plus a break below the rejection low, or a failed retest of the SMA.

**Stop** Above the rejection wick or above the moving average reclaim.

**Target** VWAP first, then the prior swing low or gap fill path.

### 4. Hidden pullback continuation

Best inside a trend when price holds a higher low or lower high while momentum resets harder.

**Entry** Break back through the pullback pivot or a reclaim of VWAP / trendline.

**Stop** Beyond the higher low or lower high that defines the setup.

**Target** Prior trend high/low, measured move, then runner if momentum expands.

### Red flags during execution

Do not keep promoting the setup after it loses the level cleanly. Divergence that cannot trigger becomes stale. Divergence that triggers and immediately reclaims the signal level is telling you the market disagrees with your read.

## CASE STUDY

# TSLA 30m example: good short bias, not elite divergence



Annotated example from the prior discussion. The setup shows price pushing into the 200 SMA while stochastic prints weaker highs.

Grade: B+

### Best label

**Failed push into resistance with momentum rollover.** That is better and more precise than calling it an elite divergence signal.

200 SMA resistance

Stochastic rollover

Short bias valid

### Why it works

- Price tests a meaningful dynamic resistance zone.
- Stochastic rolls from overbought and supports an exhaustion read.
- Follow-through lower gives the short idea context.

### Why it stops short of A

- Stochastic is secondary, not the strongest divergence tool.
- The price swing pair is good, but not perfectly clean.
- The screenshot does not show RSI confirming a true momentum disagreement.

**Upgrade path:** add RSI lower high, then wait for a clear loss of VWAP or a break of the local pivot under the rejection. That turns a good short idea into an A-grade setup.



# Printable review template

## PRE-TRADE SNAPSHOT

TICKER / DATE /  
TIMEFRAME

SETUP TYPE

REGIME

GRADE / 12

LOCATION THAT MATTERS

PRIMARY INDICATOR

TRIGGER

ENTRY

STOP

TARGET 1

TARGET 2 / RUNNER

WHY THIS SETUP DESERVES CAPITAL

## CHECKLIST

- |                                                         |                                                                       |
|---------------------------------------------------------|-----------------------------------------------------------------------|
| <input type="checkbox"/> Comparable swing points        | <input type="checkbox"/> RSI confirms or hidden divergence fits trend |
| <input type="checkbox"/> Location is meaningful         | <input type="checkbox"/> Trigger has printed                          |
| <input type="checkbox"/> Risk is defined before entry   | <input type="checkbox"/> Reward path is realistic                     |
| <input type="checkbox"/> No automatic downgrade present | <input type="checkbox"/> I am not trading boredom                     |

## POST-TRADE REVIEW

RESULT (R OR P/L)

GRADE AFTER  
REVIEW

WHAT CONFIRMED THE IDEA?

WHAT DID I MISS OR FORCE?

# One-page cheat sheet

## Trust divergence when...

- It forms at a real level: VWAP, 200 SMA, prior day high/low, gap edge, trendline.
- Price prints a clean, comparable swing pair.
- RSI confirms the disagreement.
- A trigger prints: pivot break, reclaim/loss, or rejection candle.
- The stop and reward path are obvious before entry.

## Ignore or downgrade it when...

- It sits in the middle of a range with no location advantage.
- Only stochastic diverges.
- The trend is still impulsive and price has not stopped making progress.
- You need to predict the turn before any confirmation exists.
- The invalidation is vague or the first target offers weak R.

## A+ characteristics

Major level, clean swing pair, RSI confirmation, trigger, executable 2R path.

## B setup characteristics

Good idea and decent level, but missing one key pillar such as RSI confirmation or a clean trigger.

## Best order of operations

Location -> structure -> RSI  
-> stochastic -> trigger -> risk  
-> execute.

Location

Structure

RSI

Stochastic

Trigger

Risk

**Bottom line:** the best traders do not ask, "Do I see divergence?" They ask, "Is this divergence happening somewhere that matters, and has price given me permission to act?"